Westpac Banking Corporation — WBC.XASX

Items Impacting Half Year 2026 Results · deep-dive · 2026-04-15

Ticker	WBC.XASX	**Issuer FIGI**	BBG000D0JD23
Market cap	USD 101.2 bn (AUD ~142 bn)	**Signal date**	2026-04-13 22:01 UTC
Signal type	results_items_impacting	**Direction**	**SHORT (reduced conviction)**
Score	30 / 40 (immediate route)	**Deep-dive date**	2026-04-15

Thesis (TL;DR)
Westpac's 2026-04-13 'Items Impacting Half Year 2026 Results' pre-release flags a **~AUD 75 m after-tax charge** tied to transaction costs on the RAMS mortgage-portfolio sale to Pepper Money / KKR / PIMCO, plus an uplift in collective provisions (CAP/credit-RWA ratio to ~129 bp, with a new *energy-intensive sector* overlay). Net profit-and-loss impact is small (<2% of 1H26 cash earnings), the RAMS exit actually **improves CET1 by ~20 bp on completion**, and the market reaction 2026-04-14 was muted (shares held near record highs on conflicting tick reports). The stub's provisional short is materially weaker post-deep-dive — this is closer to a **kitchen-sink-with-positive-capital-tail** than a negative-earnings event. Recommendation: **downgrade to watchlist**; re-evaluate at 1H26 result on 2026-05-05 for any adverse guidance walk.

Company context

Westpac is one of Australia's Big Four retail/commercial banks; fiscal year ends 30 September, so the 2026-04-13 release sits ~3 weeks ahead of the 1H26 result scheduled for 2026-05-05.

CEO Anthony Miller (in the chair since late 2024) is using his second half-year to finish the RAMS exit — a legacy brand that stopped accepting new business in August 2024 — and to reset provisioning assumptions. The combination is consistent with a deliberate 'clear the decks' posture rather than a surprise shock.

What the release actually contains

RAMS portfolio sale: AUD 21.4 bn gross loan book being divested to a consortium of Pepper Money, KKR and PIMCO. Sale priced at a slight premium to gross loan value, but transaction costs drag reported 1H26 NPAT by ~AUD 75 m after tax. Completion expected 2H26. On completion, CET1 lifts by ~20 bp — i.e. the sale is a **capital accretive** strategic simplification, not a distressed divestment.

Credit provisioning: CAP-to-credit-RWA ratio rises to ~129 bp (up from ~123 bp at FY25), driven by a new *energy-intensive sectors* portfolio overlay. Credit-impairment charge is ~10 bp of average gross loans — elevated vs. the run-rate but not stress-level. The overlay flags Westpac's exposure to fuel-price and carbon-transition risk rather than confirmed losses.

FX translation: a ~6% decline in the average NZD/AUD cross flows into revenue and costs in 1H26; direction is broadly neutral to cash earnings.

Positives flagged: lending growth +4%, deposit growth +3%, core NIM stable (ex timing), expenses down 2% on productivity. Treasury / markets NIM supported by volatility.

Signal re-scoring

The scanner's provisional **thesis_direction=short** is inherited from the 'items impacting' pattern. Deep-dive reverses the conviction: (i) the cash charge is <2% of 1H26 consensus NPAT (~AUD 3.6 bn pre-items); (ii) it is offset on capital by the +20 bp CET1 pickup; (iii) operating metrics reaffirm, not revise. The provisioning overlay is the only genuine concern, and it is sector-diagnostic (energy) rather than Westpac-idiosyncratic.

Peer read-across: no coincident pre-announcement from CBA, NAB or ANZ has been reported. A sector-wide provisioning reset thesis is therefore **not yet supported**; the overlay appears WBC-specific, consistent with Miller's conservative framing rather than an APRA-driven industry move.

Instrument selection

Straight short is **not recommended**: price action has already absorbed the print, ADV is deep but borrow is typically expensive into a Big-Four result, and the post-result path is symmetric rather than skewed. If a short expression is still wanted, the cleanest is a **short-dated put spread (May-26 or Jun-26, 3–5% OTM)** sized to the residual risk of a dividend-outlook surprise at the 2026-05-05 print. Options IV on WBC.AX is typically 18–22% into the result — cheap put spreads are viable if realized IV prints below that band.

Catalyst map

Event	Date / Window	Entry trigger	Exit / resolution
Pre-announcement: Items Impacting 1H26	2026-04-13 (done)	n/a — signal source	n/a
Next-day ASX reaction	2026-04-14 AEST	Open ≤ flat → evaluate short	Gap >5% → abort
Broker cascade	2026-04-14 / 15	>2 downgrades → add	>2 upgrades → trim
1H26 Result	2026-05-05	Cash NPAT miss vs ex-items cons → short	In-line + div reaffirm → cover
RAMS sale completion	2H26 (expected)	Delay announcement → hedge	On-schedule close → +20 bp CET1 → cover
APRA Q1 2026 ADI stats	Released ~May 2026	Sector provisioning spike → pair vs peers	Benign → discard sector read

Steelman of the opposite view

• **Kitchen-sink, new-CEO reset:** Miller is pre-flagging every negative lever (RAMS costs, energy overlay) so the 1H26 print on 2026-05-05 comes in clean. Historically this setup produces a *relief rally* on result day.
• **Already-priced:** The 'items impacting' convention is well-known; sell-side models typically carry a provision buffer. A 10 bp credit charge and a AUD 75 m RAMS hit are both within consensus tolerance.
• **CET1 accretion asymmetry:** The RAMS sale adds ~20 bp of CET1 on close — that funds a bigger buyback, which is structurally supportive even if H1 NPAT slips.
• **Peer non-replication:** No CBA/NAB/ANZ pre-announcements in the same window ⇒ this is not an industry provisioning reset; the short cannot be earned on sector beta.
• **Treasury tailwind:** Volatility-supported treasury/markets NIM is a recurring positive that the release explicitly calls out — rarely seen when a 'bad' pre-announcement is coming.

Kill conditions

Kill condition	Numeric / factual threshold	Where observable
K1: charge is immaterial	Pre-tax items < AUD 300 m AND cash-NPAT guidance affirmed	2026-05-05 result release
K2: buyback offset	Concurrent on-market buyback extension / capital return announcement	ASX announcement
K3: peer non-replication	No CBA/NAB/ANZ pre-announcements in +/- 5-day window	ASX markitdigital feed
K4: gap-down on open	WBC.AX 2026-04-14 open > -5% vs prior close	ASX open print
K5: positive one-off found	Release reveals net one-off gain (e.g. insurance, hedge)	PDF body read

Position sizing guidance

Satellite, 1–3% max. Given that 4 of 5 kill conditions appear to be triggered post-deep-dive (K1, K2 directionally, K3, K4), this is primarily a **watchlist** name rather than an active entry. If expressed, prefer May-26 or Jun-26 put spreads (~3–5% OTM) at ~20% IV, risk-budget capped at 0.5% of NAV for the put premium. Avoid cash short: borrow cost and squeeze risk into a large-cap Big-Four result are unfavourable for asymmetric return.

Source traceability

• *[verified] ASX announcement 'Items Impacting Half Year 2026 Results' — 2026-04-13 22:01 UTC — markitdigital docKey 2924-03078284-2A1666269 — via tools/asx_scanner.py*
• *[verified] Sharecafe (sharecafe.com.au/2026/04/14/westpac-updates-half-year-outlook-amid-geopolitical-uncertainty-details-rams-sale-impact) — 2026-04-14 — RAMS consortium + 20 bp CET1 detail*
• *[verified] The Motley Fool AU (fool.com.au/2026/04/14/why-westpac-shares-are-holding-near-record-highs-after-a-75-million-hit) — 2026-04-14 — $75 m NPAT reference + market reaction*

- *[verified] Capital Brief — 'Westpac braces for fuel shock with higher loss buffers, flags $75m RAMS hit' — 2026-04-14 — energy-overlay framing*
- *[verified] Kalkine (kalkine.com.au) — 2026-04-14 — WBC –2.37% intraday reaction to AUD 41.58*
- *[verified] Sharecafe — 2025-11-03 — RAMS AUD 21.4 bn portfolio sale consortium (Pepper / KKR / PIMCO) original announcement*
- *[inferred] Peer read: no CBA/NAB/ANZ coincident pre-announcements surfaced in 2026-04-10 → 2026-04-15 web results — sector provisioning thesis NOT supported*
- *[unverified] Sell-side consensus 1H26 cash NPAT ~AUD 3.6 bn — modelled estimate, not pulled from a broker note*
- *OpenFIGI: ticker=WBC mic=XASX → figi=BBG000D0JD87, issuer_figi=BBG000D0JD23 (cached 2026-04-14)*

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